

INSURANCE AND PENSIONS COMMISSION



SECOND HALF REPORT FOR FUNERAL ASSURERS

FOR THE HALF YEAR ENDED 30 JUNE 2013

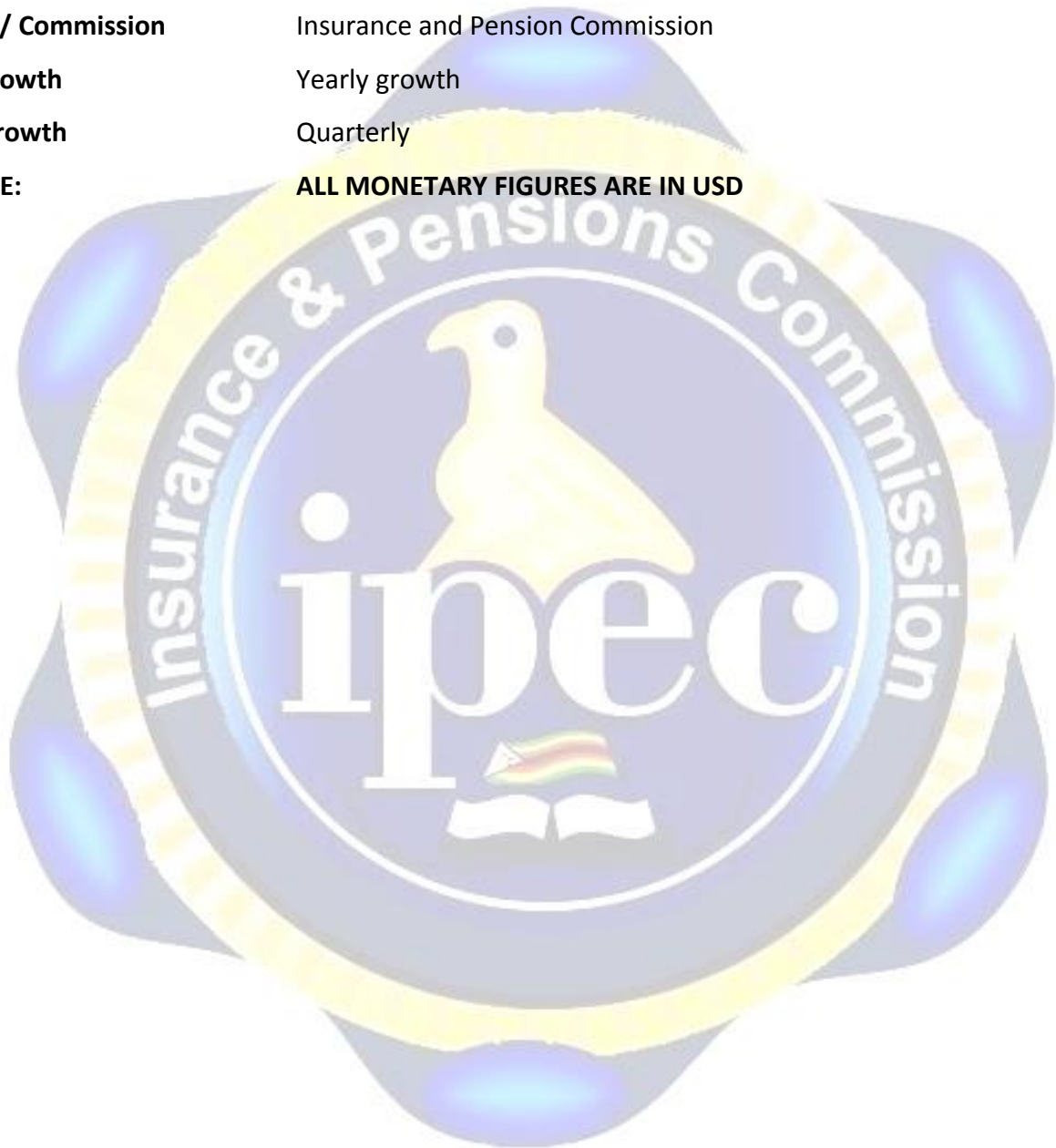
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2.0 List of Acronyms and Abbreviations

GPW	Gross Premium Written
NPI	Net Premium Income
GPI	Gross Premium Income
IPEC/ Commission	Insurance and Pension Commission
Y-Growth	Yearly growth
Q-Growth	Quarterly

NOTE: ALL MONETARY FIGURES ARE IN USD



3.0 Industry Overview

This report is based on 11 companies.

Funeral assurers cumulatively wrote \$39million in net premiums (March 2013: \$19million). Total costs amounted to \$31million resulting in the industry realizing \$8million in operating profit (March 2013: \$6million). The expense and combined ratios were reportedly 44% and 79% respectively (March 2013: 35% and 70%).

Total assets grew from \$64million in March 2013 to \$70million for the half year ended 30June 2013.

The industry was largely compliant with the new capital requirements for the current reporting period.

Table 1, below summarizes the aggregated financial indicators of the funeral assurance industry.

Table 1: Summary of Financial Performance by Funeral Assurance Industry

Financial Aspect	Funeral Assurers		
	Mar 2013	June 2013	Growth
Gross Premiums Written(\$000)	18,742	38,984	108%
Net Premiums Written (\$000)	18,741	38,968	108%
Retention Ratio	100%	100%	-
Total Gross Claims (\$000)	6,524	13,631	109%
Total Net Claims (\$000)	6,524	13,631	109%
Management Expenses (\$000)	5,268	14,650	158%
Commissions (\$000)	1,324	2,602	97%
Total Costs(\$000)	13,116	30,883	135%
Technical Profit(\$000)	5,625	8,085	44%
Expense Ratio	35%	44%	9%
Claims Ratio	35%	35%	-
Combined Ratio	70%	79%	9%
Total Assets (\$000)	63,948	70,103	17%
Total Liabilities (\$000)	38,546	44,525	16
Free Capital(\$000)	25,402	25,578	1
Capital to liability Ratio	66%	57%	(-9%)
Prescribed Assets (\$000)	229	229	-
Prescribed Asset Ratio (%)	-	-	--

4.0 Update on Number of Operational Institutions

This report is based on 11 players.

4.0 Business Written

For the half year ended 30 June 2013, funeral companies wrote \$39million in Net Written Premiums (March 2013:\$19million). This was a 116% growth rate from the same period last year and 108% rise from the previous quarter. This indicates strong growth buoyed by policyholder confidence in the sector and the increased awareness for the need to insure for the inevitable (See Table 2, below).

Table 2: Premium Distribution by Company for the half year ended 30 June 2013

Name of Funeral Company	NPW (\$000)				Yearly Growth
	Mar-13	Jun-13	Quarterly-Growth	Jun-12	
Cell	285	1,008	254%	938	7%
Doves	1,544	3,275	112%	2,174	51%
Fidelity	645	1,241	92%	1,229	1%
First Funeral	1,701	3,349	97%	2,113	58%
Foundation	222	234	5%	213	10%
Moonlight	3,212	6,941	116%	2,307	201%
Nyaradzo	10,377	21,629	108%	8,142	166%
Passion	376	579	54%	391	48%
Ruvimbo	111	225	103%	135	67%
Sunset	70	61	(13%)	44	39%
Vineyard	198	426	115%	316	35%
Total	18,741	38,968	108%	18,002	116%

5.0 Business Composition

For the period under review, the funeral industry wrote \$39 million in gross premiums buoyed by recurring business (96% or \$38million, March 2013:85% or \$16million) and the balance was new business.

Individual lines business contributed \$29 million or 74% in gross premium terms whilst group business made up the remaining 26%. This is an indicator that the industry is heavily reliant on individual business whilst also reflecting the prevailing socio-economic picture which is predominantly informal and sole-proprietor oriented. Players are therefore encouraged to develop products which best suit this reality (See Table 3, below).

Table 3: Business Composition by Company for the half year ended 30 June 2013

Co. Name	Individual Life (000)						Corporate Business (000)						Total Gross Premiums (000)		
	New Business Premiums			Recurring Premiums			New Business			Recurring Premiums					
	Mar 2013	Jun 2013	Growth (%)	Mar 2013	Jun 2013	Growth (%)	Mar 2013	Jun 2013	Growth (%)	Mar 2013	Jun 2013	Growth (%)	Mar 2013	Jun 2013	Growth (%)
Cell	2	9	350	20	24	20	263	-	-	-	975	-	285	1,008	254
Doves	-	56	-	-	3,244	-	-	-	-	-	-	-	1,544	3,300	114
Fidelity	92	23	(75)	553	1,218	126	-	-	-	-	-	-	645	1,241	92
First Funeral	137	91	(34)	1,564	3,258	108	-	-	-	-	-	-	1,701	3,349	97
Foundation	-	8	-	222	226	2	250	-	-	-	-	-	222	234	(97)
Moonlight	1	0	-	1,029	4,609	338	92	151	64	1,931	2,181	13	3,211	6,941	116
Nyaradzo	409	801	96	5,996	14,428	141	14	263	1779	3,880	6,137	58	10,377	21,629	108
Passion	19	12	(37)	113	115	2	-	11	-	231	441	91	377	579	54
Ruvimbo	-	-	-	11	225	1945	-	-	-	-	-	-	111	225	103
Sunset	-	-	-	70	62	(11)	-	-	-	-	-	-	70	62	(11)
Vineyard	12	32	167	187	384	105	-	-	-	-	-	-	199	416	109
TOTAL	672	1,032	54	9,765	27,793	185	619	425	(13)	6,142	9,734	58	18,742	38,984	108

7.0 Not-taken Up policies and Lapsed Policies

For the quarter ended 30 June 2013, funeral assurers reported not-taken up policies whose gross premiums were \$79 000. Given reported gross premiums of \$39 million, this reflects a ratio of less than 1% of written business.

Players also reported varying lapse ratios. High ratios are a red flag for possible cases of mis-selling or switching which are serious offences warranting prohibitive penalties (See Table 4, below).

Table 4: Not-taken Up policies and Lapsed Policies

	Not Taken Up Policies	Lapse Ratios	
	Total Premiums(000)	Individual (%)	Group Bus (%)
Cell	6	27	0
Doves	0	0	0
Fidelity	4	0	0
First Funeral	50	46	0
Foundation	1	402	0
Moonlight	18	0	8
Nyaradzo	0	6	3
Passion	0	0	0
Ruvimbo	0	44	11
Sunset	0	22	0
Vineyard	0	6	4
Total	79	n/a	n/a

8.0 Claims Aged Analysis

Funeral companies reported outstanding claims amounting to \$32 thousand which were predominantly current, reflecting speedy claim settlement patterns, such a scenario cultivates favorable industry goodwill to major stakeholders like the policyholders and the regulator. (See Table 5 below).

Table5:Claims Aged Analysis

Name of Company	Cell	Doves	Fidelity	First Funeral	Foundation	Moonlight	Nyaradzo	Passion	Ruvimbo	Sunset	Vineyard	Total
>30days (000)	22	-		4	-	-	-	1	-	-	-	27
31-60days(000)	-	-	-	3	-	-	-	-	-	-	-	3
61-90days (000)	-	-	-	2	-	-	-	-	-	-	-	2
91-120days (000)	-	-	-	-	-	-	-	-	-	-	-	-
<121 days (000)	-	-	-	-	-	-	-	-	-	-	-	-
Reinsurance (000)	-	-	-	-	-	-	-	-	-	-	-	-
Total	22	-	-	9	-	-	-	1	-	-	-	32

9.0 Debtor Aged Analysis

For the period under review, the funeral industry reported outstanding premiums amounting to \$3million or 8% of gross written premium. Consequently, average industry premium collection rate was 92% (March 2013:77%) (See Table 8, below).

Table 6 : Debtors Aged Analysis

Name of Company	Cell	Doves	Fidelity	First Funeral	Foundation	Moonlight	Nyaradzo	Passion	Ruvimbo	Sunset	Vineyard	Total
Current	-	-	59									59
30days (000)	4	-	26	-	1	35	1,237	110	6	-	57	1,476
60days(000)	3	-	20	-	1	27	477	98	3	-	74	703
90days (000)	2	-	19	110	1	22	260	86	3	-	27	530
120days (000)	2	-	-	-	1	19	132	59	1	-	13	227
<121 days (000)	-	-	49	-	4	44	-	89	3	-	22	211
Total (000)	11	-	173	110	8	147	2,106	442	16	-	193	3,206

10.0 Earnings

The cost and income figures for the quarter ended 30 June 2013 for the funeral assurance industry was as shown in Table 7 below.

Table 7: Key Earnings Indicators By Company for the half year ended 30 June 2013

Co. Name	NPW(000)	Claims (000)			Commissions(000)			Management Expenses(000)			Total Costs(000)					Combined Ratio		
	Jun-13	Mar-13	Jun-13	Growth	Mar-13	Jun-13	Growth	Mar-13	Jun-13	Growth	Mar-13	Jun-12	Jun-13	Q- Growth	Y-Y Growth	Jun-12	Mar-13	Jun-13
Cell	1,008	9	22	144%	3	7	133%	187	430	130%	199	411	459	131%	112%	47%	70%	46%
Doves	3,275	424	993	134%	96	198	106%	275	561	104%	795	1,628	1,752	120%	8%	83%	51%	53%
Fidelity	1,241	54	145	169%	0	-	-	309	693	124%	363	725	838	131%	16%	77%	56%	68%
First Funeral	3,349	462	939	103%	370	612	65%	475	967	104%	1,307	1,556	2,518	93%	62%	96%	77%	75%
Foundation	234	35	32	(9%)	24	22	(8%)	146	155	6%	205	172	209	2%	22%	120%	92%	89%
Moonlight	6,941	342	770	125%	225	533	137%	2,066	5,499	166%	2,633	2,126	6,802	158%	220%	94%	82%	98%
Nyaradzo	21,629	5,073	10,496	107%	582	1,189	104%	1,557	5,777	271%	7,212	4,958	17,462	142%	252%	178%	69%	81%
Passion	579	61	80	31%	3	-	-	158	180	14%	222	223	260	17%	17%	149%	59%	45%
Ruvimbo	225	31	65	110%	3	6	100%	72	146	103%	106	140	217	105%	55%	62%	95%	96%
Sunset	61	0	1	-	2	4	100%	20	28	40%	22	35	33	50%	(6%)	0%	31%	54%
Vineyard	426	33	88	167%	16	31	94%	3	214	7033%	52	255	333	540%	31%	67%	26%	78%
Total	38,968	6,524	13,631	109%	1,324	2,602	97%	5,268	14,650	158%	13,116	12,231	30,883	135%	152%	129%	70%	79%

For the period under review, management expenses were in the sum of \$15million or 48% of total costs (March 2013:\$5million or 38%); claims-\$14million or 45% (March 2013:\$7million or 54%) whilst total commission was 10% or \$3million (March 2013:8% or \$1million).

The industry reported combined ratios of 79% (March 2013:70%).Players are encouraged to continuously indulge in conscious management of key expenses effectively and efficiently to optimize on viability.

11. Asset Quality

Funeral assurance companies reported their total assets as illustrated in table 8 below.

Table 8: Funeral industry Asset bases as at 30 June 2013

Co.	Fixed Property (000)			Equities (000)			Money Market (000)			Cash (000)			Other Investments (000)			Prescribed Assets (000)			Total Assets (000)				
	Mar13	Jun13	Var	Mar13	Jun13	Var	Mar13	Jun13	Var	Mar13	Jun13	Var	Mar13	Sept 12	Var %	Mar13	Jun13	Var	Jun12	Mar 13	Jun 13	Q-Var	Y-Var
Cell	509	231	-55%	0	18	-	726	179	-75%	15	502	3247%	140	283	102	80	80	-	1,084	1,470	1,293	-60%	-13%
Doves	8,763	2,565	-71%	0	82	0%	353	128	-64%	48	126	163%	2,277	9,222	305%	19	19	-	9,779	11,441	12,142	0%	9%
Fidelity	453	466	3%	765	903	18%	1,120	1,450	29%	169	204	21%	533	463	-13%	-	-	-	1,431	3,040	3,486	22%	71%
First Funeral	1,085	776	-28%	0	11	-	0	0	-	77	26	-66%	2,337	3,139	29%	10	10	-	1,782	3,509	3,962	28%	70%
Foundation	1,292	1,170	-9%	0	0	-	75	87	16%	18	34	89%	277	405	46%	10	10	-	1,246	1,672	1,706	6%	14%
Moonlight	11,540	11,043	-4%	0	0	-	0	0	0-	75	0	-	659	1,041	58%	-	-	-	6797	12,274	12,083	13%	-51%
Nyaradzo	12,824	14,354	12%	109	109	-	2,195	2,687	22%	3,082	3,209	-4%	7,864	10,273	31%	100	100	-	8,062	26,174	30,732	45%	249%
Passion	300	0	-	0	0	-	25	0	0	3	51	1600%	475	1,112	134%	-	-	-	333	803	1,163	256%	132%
Ruvimbo	702	703	-	0	0	-	0	0	0	13	7	-46%	958	955	-	-	-	-	1,310	1,673	1,665	3%	-4%
Sunset	996	978	-2%	0	0	-	0	0	0	6	15	150%	37	62	68%	-	-	-	0	1,039	1,055	106%	0%
Vineyard	410	416	1%	3	2	-	33	11	-67%	36	37	3%	361	340	-6%	-	10	-	595	853	816	0%	38%
Total	38,874	32,702	16%	877	1,125	28%	4,527	4,542	-	3,542	4,211	19%	15,918	27,294	71%	229	229	-	32,419	63,948	70,103	17%	87%

For the half year ended 30 June 2013, the players reported that their assets were in properties-37% or \$33million (March 2013:61% or \$39million}, equities-\$1million or 1% (March 2013:2% or\$1million) money market-\$5million or 7% (March 2013:8% or \$5million), cash assets-\$4million or 6% (March 2013:\$4m or 6%) and other assets-\$27million or 39% (March 2013:25% or \$16million).

As at 30 June 2013, the prescribed asset ratio was negligible mainly due to lack of prescribed paper. Procedural vetting of prospective applications is ongoing.

The industry must continue to make reference to investment guidelines in line with Circular No.1 of 2013 and actuarial valuations for prudential asset allocations.

12. Capitalization and Solvency

Funeral companies were mainly on course to become compliant with Statutory Instrument 21 of 2013 (See table 6 below). The Commission is working with the affected players in order to restore compliancy with the minimum capital requirement of \$750 000.

Players reported strong solvency and liquidity positions as evidenced by capital to liability and liquid ratios of 57% and 81% respectively (See Table 11, below). However latest best practices prescribe risk (liability) based supervision. IPEC continues to urge players to gradually shift to such models as Solvency Assessment Management (SAM) of South Africa whilst development of our home grown models is taking shape.

Table 9: Levels of Capitalization

Co. Name	Current Assets			Current Liabilities			Total Assets		Total Liabilities			Capital (Net Assets)			NPW		Capital to liability Ratio (%)			Liquidity (Current) Ratio (%)			Capital to NPW Ratio (%)		
	Mar-13	Jun-13	%	Mar-13	Jun-13	%	Mar-13	Jun-13	Mar-13	Jun-13	%	Mar-13	Jun-13	%	Mar-13	Jun-13	Mar-13	Jun-13	%	Mar-13	Jun-13	%	Mar-13	Jun-13	%
Cell	961	829	-14	372	303	-19	1,470	1,293	372	629	69	1,098	664	-40	285	1,008	295	106	-189	258	274	16	385	66	-319
Doves	2,678	3,232	21	632	774	22	11,441	12,142	1,043	1,147	10	10,398	10,995	6	1,544	3,275	997	959	-38	424	418	-6	673	336	-337
Fidelity	1,598	1,893	18	338	415	23	3,040	3,486	338	415	23	2,702	3,071	14	645	1,241	799	740	-59	473	456	17	419	247	-172
F/Funeral	2,424	2,689	11	460	299	-35	3,509	3,962	616	462	-25	2,893	3,500	21	1,701	3,349	470	758	-288	527	899	372	170	105	-65
F/ndation	380	418	10	304	342	13	1,672	1,706	1,035	1,263	22	637	443	-30	222	234	62	35	27	125	122	-3	287	189	-98
Moonlight	735	2,272	209	3,325	4,288	29	12,274	12,083	9,395	10,531	12	2,879	1,552	-46	3,212	6,941	31	15	16	22	53	31	90	22	-68
Nyaradzo	13,113	16,141	23	24,483	28,506	16	26,174	30,732	24,696	28,690	16	1,478	2,042	38	10,377	21,629	6	7	1	54	57	-3	14	9	-5
Passion	264	666	152	193	68	35	803	1,163	193	398	106	610	765	25	376	579	316	192	-114	137	979	842	162	132	-30
Ruvimbo	317	313	-1	364	353	-3	1,673	1,665	538	526	-2	1,135	1,139	-	111	225	211	217	6	87	87	-	102	506	404
Sunset	6	51	750	-	98	-	1,039	1,055	45	198	340	994	857	-14	70	61	2209	433	-1776	-	52	-	1420	140	-1280
Vineyard	402	351	-13	245	68	-72	853	816	275	266	-3	578	550	-5	198	426	210	207	-3	164	516	352	292	129	-163
Total	22,878	28,855	26	30,716	35,514	16	63,948	70,103	38,546	44,525	16	25,402	25,578	1	18,741	39,968	66	57	-9	74	81	7	136	64	-72

13.0 Summery Of Circulars and Statutory Instruments

For the quarter under review the Commission issued the following circulars and statutory instruments to guide the industry on various issues affecting the operations of the industry:-

Table 10: Issued Circulars and Statutory Instruments for the Half year ended 30 June 2013

Details	Subject Matter	Issue date
Circular No.5 of 2013	Corporate reporting	20 June 2013
Circular No.1 of 2013	Investment guidelines	20 March 2013
Statutory Instrument 20 of 2013	Capital Requirements for fund administrators	22 February 2013
Statutory Instrument 21 of 2013	Capital Requirements for Insurance companies	22 February 2013

Conclusion

The funeral industry continued to be on a growth trajectory as shown by triple digit growth rates. However key expenses are rising at higher rates which must be a red flag to players to proactively employ the necessary risk management measures to buttress viability and sustainability.